EXECUTIVE SUMMARY

A. Introduction:

Cabug was the former name of Enrile when it was one among the barrios of Tuguegarao. It was established as a separate town in September 1841 and was named in honor of Governor Pascual Enrile who was the prime mover for the construction of roads in Northern Luzon. However, there was no enabling law or records available showing the creation of the municipality. This 3rd class municipality produces rice, corn, tobacco, peanuts and sugar cane.

Financial, compliance and value for money audit were conducted on the accounts and operations of the LGU-Enrile, Cagayan for the calendar year 2015. The audit objectives were to ascertain the propriety of the disbursements, the reliability of the financial reports, the adequacy of accounting records, compliance with laws, rules and regulations as well as adherence to prescribed policies and procedures. Likewise, the audit was conducted to determine whether plans, programs, activities and projects for the year were attained at an efficient, economic and effective manner.

B. Financial Highlights:

The financial condition and results of operations of LGU-Enrile, Cagayan for CY 2015 with comparative figures for CY 2014 are as follows:

Accounts	2015	2014	Increase/(Decrease)
Assets	165,138,224.26	97,018,101.07	68,120,123.19
Liabilities	83,499,059.64	25,491,583.16	58,007,476.48
Government Equity	81,639,164.62	71,526,517.91	10,112,646.71
Income	102,894,761.63	93,394,128.47	9,500,633.16
Expense	79,727,765.28	66,486,562.91	13,241,202.37
Appropriation	101,075,440.00	113,459,663.00	(12,384,223.00)
Obligation	77,443,486.13	88,577,434.53	(11,133,948.40)

The funds received by the LGU and transferred to other agencies and non-government and people's organizations for CY 2015 with comparative figures for CY 2014 are presented in the following table:

Funds Received from Other Agencies	2015	2014	Increase/(Decrease)
NGAs	9,130,380.00	5,945,960.00	3,184,420.00
LGUs	11,329,675.00	72,000.00	11,257,675.00
NGOs/POs	0.00	0.00	0.00
Others	0.00	0.00	0.00
Total	**20,460,055.00**	**6,017,960.00**	**14,442,095.00**

Funds Transferred to Other Agencies	2015	2014	Increase/(Decrease)
NGAs	0.00	0.00	0.00
LGUs	0.00	0.00	0.00
NGOs/POs	0.00	0.00	0.00
Others	0.00	0.00	0.00
Total	**14,251,723.64**	**23,739,280.90**	**(9,487,556.36)**

C. Independent Auditor's Report on the Financial Statements

The Auditor rendered a qualified opinion on the fairness of the presentation of the financial statements of the LGU-Enrile, Cagayan as of December 31, 2015 due to the following:

(a) the non-submission of the Report on the Physical Count of Property, Plant and Equipment, thus, Property, Plant and Equipment accounts, excluding Construction in Progress accounts, with a net book value of P133,999,222.44 are doubtful;

(b) non-provision of current year depreciation for PPE accounts with a total cost of P65,142,075.93 resulted in the misstatement of the assets, expenses and government equity accounts;

(c) non-preparation of monthly Bank Reconciliation Statements for the bank accounts maintained by the LGU for the General Fund, MWSE, Special Education Fund, and Trust Fund rendered the balance of the Cash in Bank account of P24,949,992.32 as of December 31, 2015 not reliable; and

(d) failure to request from the COA for authority to write-off the Other Receivables in the amount of P673,282.40 which remained outstanding/dormant for eight to thirty five years, thereby affecting the fairness of the presentation of the affected accounts in the financial statements.

D. Summary of Significant Observations and Recommendations:

1. **Disbursements totaling P62,864,516.51 were made even without complete documentation to support the claims, thus affecting the validity and legality of the disbursements.**

   We recommended that the Municipal Accountant ensure that the supporting documents of the disbursement vouchers are complete to prove the validity and legality of the claims pursuant to existing law, rules, and regulations.

   Moreover, he must submit the lacking documents and comply with the other deficiencies noted to avoid the suspension/disallowance of subject transactions.

2. **Had the management of the LGU fully utilized the funds allotted for its major programs and projects under the 20% Development Fund, the constituents could have benefited from the planned programs/projects. As of year-end, only 79% of the appropriated fund of P12,713,900.30 for CY 2015 was implemented.**

   We recommended that management implement the LGU's programs and projects without delay so that public funds may be utilized at the optimal level and the constituents would immediately enjoy the benefits from the projects.

3. **Fund transfers from the Department of Agrarian Reform totaling P12,000,000.00 remain unliquidated as of December 31, 2015.**

We recommended that the Municipal Accountant facilitate the submission of the liquidation documents to the Department of Agrarian Reform.

E. Summary of Total Suspensions, Disallowances and Charges

Particulars	Beginning Balance	Issued During the Year	Settlement During the Year	Ending Balance	% of Settlement
Suspensions:					
Prior Years	5,000,000.00	0.00	0.00	5,000,000.00	0.00%
Current Year		0.00	0.00	0.00	0.00%
Total	**5,000,000.00**	**0.00**	**0.00**	**5,000,000.00**	**0.00%**
Disallowances:					
Prior Years	59,444.60		0.00	59,444.60	0.00%
Current Year		81,547.80	66,187.80	15,360.00	81.165%
Total	**59,444.60**	**81,547.80**	**66,187.80**	**74,804.60**	**46.94%**
Charges:					
Prior Years	0.00	0.00	0.00	0.00	0.00
Current Year	0.00	0.00	0.00	0.00	0.00
Total	**0.00**	**0.00**	**0.00**	**0.00**	**0.00**

F. Status of Implementation of Prior Years' Unimplemented Audit Recommendations:

Of the 33 prior years' audit recommendations embodied in the 2014 Annual Audit Report, 10 were fully implemented, 13 were partially implemented, and 10 were not implemented.